Robert Schuman, the French foreign minister, realised that a reconciliation between France and Germany was good for both and for reconstruction of post-War Europe. He presented a plan known as Schuman Plan on 9 May 1950. Accordingly, he proposed that the joint output of coal and steel in the two countries be placed within the framework of a strong, supranational structure, the High Authority. This plan for sectoral economic integration created mutual interests and automatically linked the two countries. West Germany's Chancellor, Konrad Adenauer, welcomed the plan to come close to the Western world.



ECSC members

On 18 April 1951 France, West Germany, Italy, the Netherlands, Belgium and Luxembourg signed a treaty at Paris to establish the European Coal and Steel Community (ECSC). All duties and restrictions on trade in coal, iron and steel between the six were removed. ECSC was the first step towards European Integration. Britain refused to join ECSC since it would mean handing over control of their industries to an outside authority. Steel production rose by almost 50 per cent during the first five years of ECSC. The success made them to include the production of all goods. Spaak, the Foreign Minister of Belgium wanted gradual removal of all customs duties and quotas so that there would be free competition and a common market. Six countries belonging to ECSC signed the treaty of Rome which established the European Economic Community (EEC) or the European Common Market, with headquarters at Brussels. Britain did not join the EEC.

European Economic Community (EEC)



EEC in Session

The EEC facilitated the elimination of barriers to the movement of goods, services, capital, and labour. It also prohibited public policies or private agreements that restricted market competition. A Common Agricultural Policy (CAP) and a common external trade policy were evolved. In 1960, Britain organised a rival organ known as the European Free Trade Association (EFTA) with Britain, Denmark, Norway, Sweden, Switzerland, Austria and Portugal as members. But EFTA was weak since there were no common economic policies and no authority to intervene in the internal affairs of states.

In 1961 Britain decided to join EEC but the French President Charles de Gaulle opposed the entry because the economy of Britain was weak. After his resignation, British Prime Minister Edward Heath, with his skilful diplomacy, made way for Britain's entry. Britain was finally admitted on 1 January 1973 along with Ireland and Denmark.

Single European Act (SEA)

The Single European Act that came into force on July 1, 1987 expanded the EEC's scope further. It called for more intensive coordination of foreign policy among member countries. According to the SEA, each member was given multiple votes, depending on the country's population. Approval of legislation required roughly two-thirds of the votes of all

12th_History_EM_Unit_15.indd 257 24-03-2020 10:13:01